



Q1 Fiscal 2026 Earnings Commentary

The financial measures discussed below include both GAAP and adjusted non-GAAP financial measures. Please see the section captioned "Reconciliation of Non-GAAP Financial Measures" included in the accompanying financial tables, which includes more detail on the GAAP financial measures that are most directly comparable to the non-GAAP financial measures, and the related reconciliation between these financial measures.

This earnings commentary should be read in conjunction with our Quarterly Report on Form 10-Q filed with the Securities and Exchange Commission ("SEC") on, or about, June 4, 2026 and our Annual Report on Form 10-K filed with the SEC on March 17, 2026. These reports are available at www.sec.gov.

The below narrative compares the first quarter of fiscal 2026 to the first quarter of fiscal 2025, unless otherwise noted.

Sales

- **Total net revenue** increased 4%, or 2% on a constant dollar basis. Total net revenue was \$2.5 billion in Q1 2026 compared to \$2.4 billion in Q1 2025. Global comparable sales increased 1%, or decreased 2% on a constant dollar basis. The increase in net revenue was primarily due to increased China Mainland and Rest of World net revenue, partially offset by decreased Americas net revenue.
- **Americas net revenue** decreased 3%, or 4% on a constant dollar basis. Comparable sales decreased 5%, or 6% on a constant dollar basis. Americas net revenue was \$1.6 billion, or 66% of total net revenue, compared to \$1.7 billion, or 71% of total net revenue, in Q1 2025.
- **China Mainland net revenue** increased 30%, or 23% on a constant dollar basis. Comparable sales increased 20%, or 13% on a constant dollar basis. China Mainland net revenue was \$478.4 million, or 19% of total net revenue, compared to \$368.1 million, or 16% of total net revenue, in Q1 2025.
- **Rest of World net revenue** increased 13%, or 9% on a constant dollar basis. Comparable sales increased 5%, or 1% on a constant dollar basis. Rest of World net revenue was \$372.0 million, or 15% of total net revenue, compared to \$328.0 million, or 14% of total net revenue, in Q1 2025.

Store Count

- **New company-operated stores:** We opened four net new stores in Rest of World and one net new store in China Mainland in Q1 2026.
- **Total company-operated stores:** At the end of Q1 2026, we had 816 total company-operated stores compared to 770 at the end of Q1 2025.

Gross Profit

- **Gross profit** was \$1.3 billion, or 54.2% of net revenue, compared to \$1.4 billion, or 58.3% of net revenue, in Q1 2025. Gross margin decreased 410 basis points compared to Q1 2025. The decrease in gross margin was primarily the result of a net decrease in product margin of 270 basis points, comprised of:
 - a net decrease of 330 basis points primarily from higher tariffs as well as markdowns including credit card affiliate programs and higher inventory provisions, partially offset by higher pricing and lower product costs; and
 - a favorable impact of foreign currency exchange rates of 60 basis points.

The decrease in gross margin was also due to a net increase in fixed costs as a percentage of net revenue of 140 basis points, primarily driven by higher occupancy and depreciation costs.



Selling, General and Administrative Expenses

- **SG&A expenses** were \$1.1 billion, or 42.9% of net revenue, compared to \$942.9 million, or 39.8% of net revenue, in Q1 2025. The deleverage of 310 basis points was driven by increased employee costs, brand activations, and costs related to the proxy contest. This was partially offset by ongoing initiatives to prudently manage costs across the company.

Operating Income

- **Operating income** was \$276.9 million, or 11.2% of net revenue, compared to \$438.6 million, or 18.5% of net revenue, in Q1 2025.

Other Income (Expense), Net

- **Other income (expense), net** decreased \$2.7 million to \$9.1 million from \$11.8 million in Q1 2025, primarily due to a decrease in interest income as a result of lower average cash balances and lower interest rates.

Income Tax Expense

- **Income tax expense** was \$91.0 million compared to \$135.8 million in Q1 2025 and the effective tax rate was 31.8%, compared to 30.2% in Q1 2025.

Net Income

- **Net income** was \$195.0 million, or \$1.69 per diluted share, compared to \$2.60 per diluted share in Q1 2025.

Share Count

- Our diluted share count for the quarter was 115.5 million compared to 120.8 million in Q1 2025.
- In Q1 2026, we repurchased 2.2 million of our shares for a cost of \$358.3 million.

Capital Expenditures

- **Capital expenditures** were \$127.4 million in Q1 2026 compared to \$152.3 million in Q1 2025. The Q1 2026 capital expenditures primarily relate to investments that support business growth including our multi-year distribution center project, store capital for new locations, relocations, and renovations, and technology investments.

Balance Sheet Highlights

- **Cash and cash equivalents** were \$1.5 billion at the end of Q1 2026 and the available capacity under our committed revolving credit facility was \$593.6 million.
- **Inventories** increased 2% to \$1.7 billion at the end of Q1 2026 compared to the end of Q1 2025. On a unit basis, inventories decreased 4%.



Forward-Looking Statements and Non-GAAP Reconciliations

Forward-Looking Statements:

This supplemental disclosure includes estimates, projections, statements relating to our business plans, objectives, and expected operating results that are "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995, Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934. In many cases, you can identify forward-looking statements by terms such as "may," "will," "should," "expects," "plans," "anticipates," "outlook," "believes," "intends," "estimates," "predicts," "potential" or the negative of these terms or other comparable terminology. These forward-looking statements also include our guidance and outlook statements. These statements are based on management's current expectations but they involve a number of risks and uncertainties. Actual results and the timing of events could differ materially from those anticipated in the forward-looking statements as a result of risks and uncertainties, which include, without limitation: our ability to maintain our brand value and reputation; our highly competitive market and increasing competition; our ability to anticipate consumer preferences and successfully develop and introduce new, innovative and differentiated products; the acceptability of our products to guests; increasing costs and decreasing selling prices; our ability to accurately forecast guest demand for our products; our ability to expand in light of our limited operating experience and limited brand recognition in new international markets and new product categories; our ability to attract, manage, and retain highly qualified individuals; our ability to manage our growth and the increased complexity of our business effectively; changes in consumer shopping preferences and shifts in distribution channels; our leasing of retail and distribution space; seasonality; changes to U.S. tariff and customs policy, including the elimination of the de minimis exemption; macroeconomic volatility, inflationary pressures, and shifts in consumer sentiment; global political and economic instability, including geopolitical conflicts and political polarization; trade restrictions, tariffs, and customs changes; our ability to comply with trade and other regulations; changes in tax laws, transfer pricing, or unanticipated tax liabilities; fluctuations in foreign currency exchange rates; global or regional public health crises; disruptions of our supply chain; our reliance on a relatively small number of vendors to supply and manufacture a significant portion of our products; suppliers or manufacturers not complying with our Vendor Code of Ethics or applicable laws; fluctuating costs of raw materials and the cost of producing our products; our ability to deliver our products to the market and to meet guest expectations if we have problems with our distribution system; our ability to safeguard against security breaches with respect to our technology systems; our compliance with privacy and data protection laws; any material disruption of our technology systems; our ability to have technology-based systems for our e-commerce business function effectively; imitation by our competitors; our ability to protect our intellectual property rights; conflicting trademarks and patents and the prevention of sale of certain products; actions by stockholders, activists, or consumers; our exposure to various types of litigation; climate change and related pressures; heightened scrutiny and legal risks from competing pressures regarding ESG; and other risks and uncertainties set out in filings made from time to time with the United States Securities and Exchange Commission and available at www.sec.gov, including, without limitation, our most recent reports on Form 10-K and Form 10-Q. You are urged to consider these factors carefully in evaluating the forward-looking statements contained herein and are cautioned not to place undue reliance on such forward-looking statements, which are qualified in their entirety by these cautionary statements. The forward-looking statements made herein speak only as of the date of this disclosure and we undertake no obligation to publicly update such forward-looking statements to reflect subsequent events or circumstances, except as may be required by law.



Reconciliation of Non-GAAP Financial Measures

Unaudited

Constant dollar changes

The below changes show the change compared to the corresponding period in the prior year.

Net Revenue	First Quarter 2026		
	Change	Foreign exchange	Change in constant dollars
United States	(4)%	— %	(4)%
Canada	(3)	(3)	(6)
Americas	(3)	(1)	(4)
China Mainland	30	(7)	23
Rest of World	13	(4)	9
Total international	22	(6)	16
Total	4 %	(2)%	2 %

Comparable Sales ⁽¹⁾	First Quarter 2026		
	Change	Foreign exchange	Change in constant dollars
Americas	(5)%	(1)%	(6)%
China Mainland	20	(7)	13
Rest of World	5	(4)	1
Total international	13	(5)	8
Total	1 %	(3)%	(2)%

⁽¹⁾ Comparable sales includes comparable company-operated store and e-commerce net revenue. Comparable company-operated stores have been open for at least 12 full fiscal months, or open for at least 12 full fiscal months after being significantly expanded. Comparable company-operated stores exclude stores which have been temporarily relocated for renovations or have been temporarily closed.